proportion of working-age population is likely to play a central role in driving economic growth. As the dependency falls, opportunities for economic growth tend to rise, creating what is termed as a *'demographic dividend'*.

Till conscious action is put in place (discussed in the chapter *'Preparing for the Demographic Dividend'*), the 'dividend' will not start accruing automatically in India's favour. The prospects can be increased by India's timely and needful actions.

Current Account and Forex Reserves

In response to a series of financial crises, especially after the East Asian crisis of 1997, many emerging and developing economies adopted new strategies for managing their external economy. These involved greater reliance on exports (aimed at current account surpluses) and the accumulation of foreign exchange reserves, in part to check currency appreciation and also as self-insurance against capital flow outflows/reversals (of the FDI and the PIS in India's case). These strategies led to a shift from being net importers of financial capital to net exporters. As reserves got invested in developed economies, it led to a *contradictory phenomenon* of capital flowing from emerging countries to capital-rich countries (especially the US). In an accounting sense, this was equated to high saving rates in the emerging market economies (EMEs), especially *China* which was sitting on a current account balance of over US $ 300 billion *(as per the latest data provided by the WEO)* and a Forex reserves above **US $ 2800 billion.**

In this regard, **India,** is somewhat a different case. While holding substantial forex reserves (US $ 295.6 billion[14]), it has essentially had a *structural current account deficit* and is therefore not a contributor to global imbalances in the foregoing sense. Regardless of the merits of holding forex reserves, it is by now agreed that the relatively stronger external financial position (forex reserves) of the EMEs made them less vulnerable to the capital outflows/reversals following the global financial crisis of 2008 and in that sense a *vindication* of the strategy of maintaining high reserves.